BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Consolidated Edison Company of New York, Inc. for Gas Service.

Case 25-G-0073

June 24, 2025

Rebuttal Testimony of:

Gas Rate Panel

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CASE NO. 25-G-0073

CONSOLIDATED EDISON COMPANY OF NEW YORK, INC.

GAS RATE PANEL REBUTTAL TESTIMONY

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CONSOLIDATED EDISON COMPANY OF NEW YORK, INC.

GAS RATE PANEL REBUTTAL TESTIMONY

Introduction

Q. Please state your names.

A. Our names are Yan Flishenbaum, Lucy Villeta, and Alla Warner.

Q. Have you previously submitted testimony in this proceeding?

A. Yes. We previously submitted direct testimony on behalf of Consolidated Edison Company of New York, Inc. ("Con Edison" or the "Company") as the Gas Rate Panel ("Panel").

Q. Please explain any changes to the Gas Rate Panel.

A. Effective May 1, 2025, Yan Flishenbaum has been promoted to Director of Rate Engineering, replacing William Atzl who retired.

Q. What is the purpose of the Panel's rebuttal testimony?

A. We are responding to the testimony of the following parties related to revenue allocation, rate design, variability of monthly delivery rates, distinctions between the Company's New York City and Westchester service territories, and the Rate Case Enhancement capital project:

- The New York State Department of Public Service Staff Rates Panel ("Staff Rates Panel" or "Staff");
- The Rate Panel of the Utility Intervention Unit of the New York State Department of State's Division of Consumer Protection ("UIU Rate Panel" or "UIU");
- UIU witness Dustin M. J. Madsen;
- The City of New York ("NYC") witness Michele Chait;
- Public Utility Law Project ("PULP") witness William D. Yates;
- New York State Assemblymember MaryJane Shimsky, 92nd District witness Pascale Jean-Gilles ("MOA witness Jean-Gilles");
- The Westchester Municipal Consortium ("WMC") witness Ben Johnson; and
- New York Energy Consumers Council, Inc. witness Andy Anderson ("NYECC").

To the extent that an issue is raised by Staff or intervenors but not addressed specifically by this Panel, the positions stated therein should not be viewed or considered to have been accepted by the Company.

Q. Is the Panel sponsoring any exhibits?

A. Yes, we are sponsoring the following exhibits:

- Exhibit__(GRP-5) contains a chart showing Service Class ("SC") 1 monthly customer bill impacts across various usage ranges.
- Exhibit__(GRP-6) contains information the Company provided to parties during the discovery phase of this proceeding which the Panel refers to, or otherwise relies upon, in its rebuttal testimony.
- Exhibit__(GRP-7) contains tariff references the Company refers to, or otherwise relies upon, in its rebuttal testimony.

Q. Does this rebuttal testimony address any gas cost of service or demand analysis issues?

A. No. Given that there are cost of service and demand analysis topics that are common to both electric and gas, it is more efficient to address these issues in one place (i.e., in the rebuttal testimony of the Company's Demand Analysis and Cost of Service ("DAC") Panel).

Revenue Allocation

Q. Does the Staff Rates Panel agree with the Company's method of revenue allocation to firm service classes?

A. The Staff Rates Panel generally agrees with the Company's approach to revenue allocation. As mentioned in the testimony of the Company's DAC Panel, Staff found the 2023 ECOS study to be reasonable and recommended its adoption in this case (p. 20). Staff, however, disagrees with the Company's proposal to realign the delivery revenues at current rates by one-sixth of the ECOS study deficiency or surplus indications, recommending instead that the Commission spread the surplus and deficiency indications over nine years (p. 30).

Q. What is Staff's rationale for increasing the implementation of the ECOS study indications over nine years instead of six years as proposed by the Company?

A. Both the Company and Staff agree to phase in the results of splitting the SC3 residential heating class into two separate rate structures to mitigate the bill impacts for the deficient SC3 Rate I customers residing in 1-4 dwelling units. The Company and Staff disagree on the

appropriate length of time over which to phase in these results. The Company proposed six years to align with recovery over the term of two rate plans typical of prior three-year settlement agreements. Staff's proposal for nine years would extend this recovery over the course of three rate plans, assuming three-year agreements for each rate plan.

Q. Are there other relevant factors to consider in determining the appropriate timeframe to phase in the results of the split SC3 class?

A. Yes. As discussed in the initial testimony of the Gas Rate Panel (p. 27), the Company is currently in the process of flattening its declining volumetric block rate structure over a period of ten years which began in 2023 and will conclude at the end of 2032. The proposed first rate year in this proceeding is year four of ten of the phase in of the flattening of block rates. Staff agrees (p. 43) to continue with the ten-year block flattening in accordance with the Joint Proposal in Case 22-G-0065.

Q. How is the flattening of the volumetric block rates relevant to splitting the SC3 class into one to four dwelling units and greater than four dwelling units?

A. The traditional declining block rate structure charged the highest volumetric rates to low usage customers, and rates went down as usage increased. This was done in recognition that recovery of fixed cost investment over small volumes resulted in higher per unit rates from an economic perspective. Higher usage and better load factors resulted in more efficient utilization of fixed cost investment, which resulted in lower per unit rates. However, a declining block rate structure also provided little incentive towards conservation as the per unit charges became cheaper with increasing usage.

Q. Please continue.

A. The movement away from a declining volumetric block rate structure to a flat rate structure will ultimately lead to a single flat volumetric rate regardless of usage for any usage above 3 therms. Low usage customers, who under a declining block rate structure are currently paying higher per unit rates, will benefit from a flattened rate

structure. High usage customers, on the other hand, will lose the benefit of the discounted volumetric rate blocks as usage increases. For the SC3 residential heating class, the benefit of a flattened rate structure will accrue more to the lower usage customers residing in one to four dwelling units and will result in more unfavorable bill impacts to the higher usage customers residing in multi-family dwellings. These customer bill impacts are moving in the opposite direction from the bill impacts customers will experience from the ECOS study indications resulting from splitting the SC3 residential heating class.

Q. How will the splitting of the SC3 residential heating class into one to four dwelling units and greater than four dwelling units impact these customers?

A. The 2023 ECOS study indications presented by the Company in its initial filing Exhibit__(GRP-1) resulted in a revenue deficiency for customers residing in one to four dwelling units and a revenue surplus for customers residing in multi-family dwelling units. Therefore, resulting customer bill impacts would be moving in the

opposite direction from the bill impacts customers will experience from the movement away from a declining block rate structure.

Q. Please continue.

A. In light of the fact that the customer bill impacts resulting from the elimination of the block rate structure is mitigating the bill impacts resulting from the split SC3 class, the Company's proposal to address the ECOS study cost indications of the split SC3 residential heating class over six years from 2026 through 2031 aligns more closely to the remaining seven-year timeframe of flattening the block rate structures from 2026 through 2032.

Q. Have other parties presented a position on the phase-in of the ECOS study indications resulting from the SC3 class split?

A. Yes. NYC witness Chait proposes that the revenue surpluses and deficiencies for all classes except the split SC3 class should be eliminated over a period of three years and supports the Company position to phase in

the surplus deficiency indications for the split SC3 class over six years (pp. 53-54).

Q. Does the Company support NYC's proposal to have a different recovery period for the ECOS study indications across customer service classes?

A. No. Revenue realignment of ECOS study indications is intended to be revenue neutral and applied prior to assessing any rate increase to the classes in any rate year. Having a different recovery period for one class from the remaining classes would not be revenue neutral.

Q. Does the UIU Rate Panel express a position regarding the Company's proposed revenue allocation?

A. Partly. The UIU Rate Panel presents testimony stating that the Panel's proposed six-year phase-in period differs from both its electric revenue allocation proposal in this proceeding and its gas revenue allocation proposal in prior proceedings (p. 30). At the same time, UIU acknowledges that spreading ECOS study indications over three years will result in rate shock for the SC3 Rate I class residing in one to four dwelling units and that gradualism is warranted (p. 31).

Q. Please continue.

A. UIU further opines that by establishing separate SC3 rates in its ECOS study, the Company turned a rate design issue concerning intra-class subsidization into an inter-class revenue allocation issue (p. 30). However, UIU neither supports nor refutes the Company's proposal under the premise that the Company may refine its ECOS study in the future to better estimate the customer-related components of system costs as proposed by the testimony of UIU witness Madsen (p. 32). UIU witness Madsen's recommendations will be discussed further in the rebuttal testimony of the Company's DAC Panel. Suffice it to say that neither the UIU Rate Panel nor UIU witness Madsen prepared an alternative revenue allocation proposal in this case.

Rate Design

Q. Were there any comments from parties with respect to the Company's rate design?

A. Yes. The Staff Rates Panel, UIU, NYC, and PULP commented on the Company's rate design.

Q. Please explain Staff's position.

A. Staff generally agreed with the Company's proposals to set the monthly minimum charges for each service class proportionally to the class revenue increase and recommended rounding to the nearest whole dollar (pp. 38-39) except for setting the monthly minimum charges for the newly split SC3 class. Methodologically, this is in line with the Company's proposal with the understanding that the final revenue requirement will impact the appropriate level of monthly minimum charges by class. For example, the Company's proposal in its initial filing to increase the SC1 monthly minimum charge to $38.73 was predicated on a $440.5 million revenue increase and sought to mitigate SC1 customer bill impacts at higher usage levels. Staff's proposal is based on a reduction of $45.46 million to the Company's revenue requirement and an adjusted volume forecast. Accordingly, Staff applied the same methodology as the Company to determine rates for firm customers, except for SC3.

Q. Does the Company agree with Staff's approach of reducing the monthly minimum charge for the SC1 customers in

proportion to the class revenue decrease in the event of a reduction in the Company's revenue requirement?

A. No. When monthly minimum charges remain below their ECOS study customer cost indications, any decrease in the Company's revenue requirement would not justify a decrease in the Company's existing monthly minimum charges.

Q. Please comment on Staff's recommendation (p. 39) that "If the Commission ultimately determines an overall increase in gas delivery revenue, the Panel still recommends limiting the monthly minimum charge increase for SC1 to no more than $33.66, which matches the costs for supplying service to this class, as indicated in the ECOS study."

A. The Company disagrees. The Joint Proposal in Case 22-G-0065 established the SC1 monthly minimum charge at $30 in the rate year (i.e., calendar year 2026) above the 2019 ECOS study customer cost indication of $26.54. Setting the monthly minimum charge above the customer cost enabled today's SC1 monthly minimum charge of $33.23 to be more in alignment with the 2023 ECOS study customer cost indication of $33.66 than otherwise would have been. Progress towards cost-based monthly minimum charges will

be hindered in the future by not allowing an increase in the monthly minimum charge that is based on the overall percentage increase for the class.

Q. Please continue.

A. Furthermore, as discussed in our initial testimony (p. 26), "The majority of SC1 customers use five therms or less per month and the vast majority of SC1 delivery revenue is associated with the minimum charge. Therefore, applying the revenue increase solely to the volumetric charge would disproportionally affect customers using more than five therms per month." The Company in its response to interrogatory NRDC2-39 provided support showing that:

- over 80% of SC1 customer bills are for five therms or below.
- the monthly minimum charge includes the first three therms of gas per the Company's gas tariff (Leaf 228).
- approximately 85% of the rate year revenue for SC1 is associated with monthly minimum charge.

Q. Can the Company offer support for how applying the SC1 revenue increase entirely to the volumetric charge would

adversely impact customers using more than five therms per month.

A. Yes. Please refer to Exhibit__(GRP-5) which shows the monthly bill impacts to SC1 customers across various usage ranges. No change to the SC1 monthly minimum charge of $33.23 would result in bill impacts exceeding 80% for high use customers with usage exceeding 600 therms per month and 70% for customers with usage exceeding 90 therms per month. Increasing the SC1 monthly minimum charge to its 2023 ECOS study customer cost of $33.66 would result in bill impacts exceeding 70% for high use customers with usage exceeding 200 therms per month. The Company's proposal to increase monthly minimum charges to $38.73 would temper the customer impacts to a span of 12% to 17% across all usage ranges.

Q. Please comment on Staff's recommendation (p.40) to "investigate the viability of moving the few high users in SC1 into another rate class such as SC3, and that the Company perform the necessary outreach to help facilitate such a shift."

A. There are valid reasons why certain high-usage customers remain under the SC1 class. According to the gas tariff, SC1 is a residential non-heating class that may include accounts with supplementary gas equipment, such as auxiliary heating and religious institutions.

Q. Earlier the Company mentioned that Staff applied the same methodology as the Company of applying the overall percentage increase by class to determine rates for firm customers, except for the newly split SC3 class. Please explain how Staff arrived at their recommended proposal to increase the SC3 Rate II minimum charge from $32 to $36.

A. The Company finds Staff's rationale for setting the SC3 Rate II monthly minimum charge at $36 from $32 unclear. The current $32 charge remains significantly below its associated customer cost of $348.07. In its initial filing, the Company proposed increasing the SC3 Rate II charge to 1.5 times the SC3 Rate I charge, aligning with cost considerations. The ECOS study indicates that the SC3 Rate II customer cost of $348.07 is approximately 2.1 times the SC3 Rate I cost of $165.70. Given this disparity, the Company questions why the Staff Rates Panel

has not pursued further alignment with actual cost levels for SC3 Rate II customers.

Q. Did any other parties present testimony related to the Company's rate design?

A. Yes. UIU claims that the Company's justification for increasing the SC1 minimum charge differs from other classes and would exceed the customer cost for the class. UIU further states that increasing the minimum monthly charge for SC3 Rate I and Rate II customers from $32 to $40 and $60, respectively, is a 25% and 87.5% increase and not consistent with rate gradualism (pp. 41, 43). The Company addressed these items above and will not repeat the same arguments here. We would note, however, that the SC3 Rate II multi-family residential heating class tends to have larger customers where the monthly minimum charge comprises a smaller portion of their bill compared to the volumetric charges. This is evidenced in Exhibit__(GRP-3), Schedule 4, Page 3 which shows the typical bill of an SC3 Rate II customer with average monthly usage of 2,549 therms. The monthly minimum charge of $60 proposed by the

Company represents 2% of the total $3,973.34 delivery portion of the bill.

Q. Please continue.

A. UIU also erroneously claims (p. 42) that the Company proposed to eliminate the declining block rate structure for SC3 Rate I customers who will pay a single volumetric rate of $1.9558 per therm for all usage over three therms. This is incorrect. The Company eliminated the last of the three volumetric rate blocks greater than 3,000 therms for SC3 Rate I; the first two volumetric rate blocks remain. UIU's quoted volumetric rate of $1.9558 per therm is the Company's proposed first 4-90 therm volumetric block rate. The second volumetric block rate from 91-3,000 therms is proposed at $1.7006 per therm. The third volumetric block rate for usage greater than 3,000 therms is the block the Company proposes to eliminate.

Q. Any other recommendations from parties related to rate design?

A. Yes. NYC acknowledges that the proposed gas increases are generally fairly apportioned among customer classes (p. 55). Nevertheless, NYC proposes a reduction to the SC3

Rate II monthly minimum charge to $45 to address onerous bill impacts for low usage customers stating that customers with a monthly usage of 60 therms will experience bill impacts roughly double the 9.7% class total bill increase (p. 55). The Company addressed these items above in stating that the current $32 charge remains significantly below its ECOS study cost indication of $348.07 and should at a minimum reflect movement toward cost causation whereby the SC3 Rate II customer cost of $348.07 is approximately 2.1 times the SC3 Rate I cost of $165.70.

Q. Please continue.

A. PULP presents testimony that the Commission should explore alternative rate designs that would freeze monthly minimum charges and reward conservation and energy efficiency. (p. 22). The Company would note that there are fixed costs associated with providing service that would be unfairly subsidized by larger volume customers if not recovered through a fixed monthly minimum charge. A rate structure that sends a price signal that is not based on cost

causation is not an economically efficient rate structure when it creates such subsidies.

Variability of Monthly Delivery Rates

Q. Please address MOA witness Jean-Gilles' concern that "a major complaint of constituents is that their delivery rates vary per bill and don't match the usage per month." (p. 4)

A. Utility rates are complex and are designed to recover the revenue requirement associated with providing energy services to our customers safely, reliably, efficiently, and in an environmentally sound manner. The Company's gas delivery rates charged to customers undergo thorough review as part of the regulatory process and are ultimately approved by the Commission. The base delivery rates currently in effect were established in accordance with the Commission's Order in Case 22-G-0065 and went into effect for rate years one, two, and three on August 1, 2023, January 1, 2024, and January 1, 2025, respectively. The base delivery rates between these periods do not change and are based on a typical 30-day bill (365 days per year divided by 12 months per year

rounds to a 30-day billing period). Any given month may have more or less than 30 billing days and both the minimum monthly charges as well as the volumetric block rates are prorated in accordance with the number of days in the month (Tariff Leaf 50).

Q. If the base delivery rates charged to customers do not vary on a month-to-month basis (based on a 30-day bill), why might individual customers experience varying delivery rates when looked at on a per unit basis?

A. The Company in its response to the Office of Assemblymember MaryJane Shimsky's interrogatory request MOA Shimsky 1-10, responded, "There are a myriad reasons why delivery rates (when looked at on a per unit basis) may vary for similar types of housing on the same street or the same neighborhood. The usage characteristics of houses may differ based upon factors such as the type and age of the structure, its efficiency, and the efficiency of the equipment within the structure. The occupants of a building may reflect a different mix of residential versus commercial characteristics that are billed on different

rate structures. Additionally, customers may be on different trip cycles for billing purposes."

Q. How might the usage characteristics of customers result in varying delivery rates when looked at on a per unit basis?

A. As mentioned above in the revenue allocation section of this testimony, the Company's volumetric rates currently reflect a declining block rate structure. This means that the price per therm is higher at lower usage ranges and lower at higher usage ranges. An individual customer's bill will experience varying unit prices on a month-by-month basis reflecting the unique price out of a particular month's usage through the Company's three volumetric block rate structures. Consider an example of a customer using 170 therms one month and 50 therms the next month using the current SC3 residential heating rates currently in effect January 1, 2025 (Tariff Leaf 240). The price out of the first month's bill at 170 therms results in a higher bill of $273.87 with a lower per therm unit rate of $1.61 while the price out of the second month's bill at 50 therms results in a lower bill of $106.78 with a higher unit rate of $2.14.

Q. How might different trip cycles for billing purposes result in varying delivery rates when looked at on a per unit basis?

A. In addition to the proration of the minimum monthly charges and the volumetric block rates based on the number of billing days in a month mentioned previously, other surcharges, sur-credits, and reconciliation mechanisms are adjusted monthly but generally do not result in significant volatility on customer bills. The Panel, in its response to the County of Westchester's interrogatory WC5-36 provided an analysis showing how an SC3 residential heating customer's bill would have varied monthly in 2024 based on the rates in effect and assumed constant usage during the winter heating months and summer non-heating months. The delivery charges during the five winter months ranged from a low of $297.13 to a high of $309.38. The summer months ranged from $114.39 to $116.04. Therefore, the delivery rates themselves are relatively stable and do not contribute significantly to the volatility experienced by customers monthly.

New York City and Westchester Rates

Q. Does this rebuttal testimony address issues raised by the WMC with respect to its recommendation to either maintain separate rate schedules for Westchester from New York City (p. 20) or otherwise provide discounted rates to radial customers from network customers?

A. No. Given that the New York City versus Westchester issues raised by the WMC relate to topics that are common to both electric and gas, it is more efficient to address these issues in one place (i.e., in the rebuttal testimony of the Company's Electric Rate Panel) than to repeat these same arguments here. The Gas Rates Panel hereby adopts the rebuttal testimony of the Electric Rate Panel, as it relates to New York City versus Westchester rates as its own.

Rate Case Enhancement Project

Q. Where will the Company address NYECC's lack of support (p.17) for the Panel's Rate Case Enhancement Project?

A. The Rate Case Enhancement project is being addressed in the rebuttal testimony of the Company's Information Technology Panel.

Q. Does this conclude your rebuttal testimony?

A. Yes.